

Choosing What's Best for You

Before you choose a credit card, think about how you intend to use it. Do you plan to pay off the balance every month or carry a balance from one month to the next? If you pay the balance every month, the annual fee and other charges may be more important than the annual percentage rate (APR), so you should look for a no-fee or low-fee card. Even if the issuer charges an annual fee, you may be able to get it waived by calling and asking the company to remove it. If you carry a balance and pay for your purchases over time, the APR and the method of computing your balance are most important, so you'll want to look for the lowest interest rate and the best grace period.

Beware of teaser rates, which sound tempting because the introductory rate is much lower than the going rate on most cards. The downside is that if you have a balance on the card when the introductory rate ends, you could be in worse shape than you were with a higher rate, depending on how high the rate spikes at the end of the introductory offer. It is also imperative that you make all minimum payments during the introductory period in a timely manner or the rate will revert instantly to that higher rate.



Interest rates on cards that award frequent flier miles for certain purchases are usually several percentage points higher than regular credit cards, so don't carry a balance on them. If you pay even one day late, you're hit with finance charges and you may lose any miles earned that month.

In general, if you have a good credit history and you're paying more than 7 or 8 percent above the current prime interest rate on your Visa or MasterCard, you're paying too much. If you can obtain a lower-interest credit card, you can usually use cash advances to pay off the balance on